

TRANSFER PRICING LOCAL FILE

Financing Transaction — Intra-Group Term Loan

Forgeline Industries Pvt. Ltd. (India)

Financial year ended 31 March 2026

Document type	Transfer Pricing Local File — financing transaction
Tested transaction	EUR 50,000,000 intra-group term loan
Local entity (tested party)	Forgeline Industries Pvt. Ltd., India
Counterparty	Meridian Lux Finance S.à r.l., Luxembourg
Financial year covered	1 April 2025 to 31 March 2026
Loan drawdown date	1 April 2025
Pricing (valuation) date	31 March 2025
Financial data used for credit assessment	Audited consolidated accounts, year ended 31 March 2025
Version	Final
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Prepared by	Jairaghav Thummala
Status	Illustrative study. Not a client deliverable. See Section 3.3.

This document is an independent illustrative study prepared for portfolio and professional development purposes. The entities named are fictional. The financial data underlying the analysis is real and is sourced from published audited financial statements, as explained at Section 3.3.

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1. Executive Summary

On 1 April 2025, Forgeline Industries Pvt. Ltd. ("Forgeline" or "the Company"), an Indian manufacturing subsidiary, drew a term loan of EUR 50,000,000 from Meridian Lux Finance S.à r.l. ("MLF"), the Luxembourg intra-group financing company of the same multinational group. The loan funds a capacity expansion programme in Forgeline's forgings and electric-vehicle components operations. The facility constitutes an External Commercial Borrowing for Indian exchange control purposes.

This Local File documents the transfer pricing analysis supporting the arm's length nature of the interest rate applied to that loan for the financial year ended 31 March 2026, and addresses the related Indian and Luxembourg tax provisions that interact with the pricing conclusion.

Summary of analysis and conclusions

Matter	Conclusion	Reference
Accurate delineation	The instrument is accurately delineated as debt in its entirety. No part of the principal is recharacterised as equity.	Section 6
Transfer pricing method	Comparable Uncontrolled Price (CUP), applied using external market data.	Section 8
Tested party	Forgeline Industries Pvt. Ltd. (the borrower).	Section 8.3
Borrower stand-alone credit rating	A2 / A equivalent , derived on a ratio-based synthetic rating methodology from EBIT interest coverage of 4.36x.	Section 9.4
Implicit support adjustment	No uplift applied. The borrower is creditworthy on its own financial merits.	Section 9.5
Arm's length credit spread	78 basis points over the applicable EUR risk-free reference rate.	Section 10.5
Market corroboration	A search of 158 instruments across 24 European corporate issuers produced two accepted comparables spanning 47.3 to 79.4 bps. The closest-matched comparable on rating, currency, tenor and timing priced at 79.4 bps , within 1.4 bps of the concluded spread.	Section 10.4
Arm's length interest rate	2.831 per cent , being the EUR 3-year reference rate of 2.051 per cent at the pricing date plus 78 bps. Defensible spread range of 70 to 89 bps.	Section 11
Lender's return (Luxembourg)	MLF exercises control over credit risk and has financial capacity to bear it. It is entitled to a full risk-adjusted return, not a risk-free return. The intermediary simplification under Circular LIR n° 56/1 - 56bis/1 does not apply.	Section 12

Matter	Conclusion	Reference
India — Section 94B interest limitation	Section 94B applies, as associated enterprise interest exceeds INR 10 million. No disallowance arises: interest of approximately INR 127.4 million represents 0.47 per cent of EBITDA against a 30 per cent statutory cap.	Section 13.1
India — withholding tax	Interest is subject to Indian withholding tax, capped at 10 per cent of the gross amount under Article 11(2) of the India-Luxembourg tax treaty, subject to treaty entitlement conditions.	Section 13.2
India — ECB framework	The facility complies with the Foreign Exchange Management (Borrowing and Lending) Regulations as amended in 2026 on lender eligibility, minimum average maturity and pricing.	Section 13.3
Advance pricing agreements and rulings	No advance pricing agreement or tax ruling is in force in respect of the tested transaction in either jurisdiction.	Section 13.4

The Company considers that the interest rate applied to the intra-group loan is consistent with the arm's length principle as set out in Article 9 of the OECD Model Tax Convention, Chapter X of the OECD Transfer Pricing Guidelines, and Sections 92 to 92F of the Indian Income-tax Act 1961.

2. Glossary and Defined Terms

Term	Meaning
AE	Associated enterprise, as defined in Section 92A of the Indian Income-tax Act 1961 and Article 9 of the OECD Model Tax Convention
ATAD	EU Anti-Tax Avoidance Directive
bps	Basis points. One basis point is 0.01 per cent.
CbCR	Country-by-Country Reporting
Circular 56/1	Luxembourg Circular LIR n° 56/1 - 56bis/1 on intra-group financing activities
CUP	Comparable Uncontrolled Price method
EBIT	Earnings before interest and tax
EBITDA	Earnings before interest, tax, depreciation and amortisation
ECB	External Commercial Borrowing, as defined under Indian exchange control regulation. Where the European Central Bank is intended, it is named in full.

Term	Meaning
FEMA	Foreign Exchange Management Act 1999 (India) and regulations made under it
Forgeline	Forgeline Industries Pvt. Ltd., India — the borrower and tested party
FY2025	The financial year ended 31 March 2025
FY2026	The financial year ended 31 March 2026, being the year covered by this Local File
IQR	Interquartile range, being the range between the 25th and 75th percentiles of a data set
MAMP	Minimum average maturity period, as prescribed under the Indian ECB framework
MLF	Meridian Lux Finance S.à r.l., Luxembourg — the lender
MLI	Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting
OECD Guidelines	OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations
PPT	Principal Purpose Test, as introduced into the India-Luxembourg treaty by the MLI
RBI	Reserve Bank of India
Section 94B	Section 94B of the Indian Income-tax Act 1961, limiting interest deductions on borrowings from non-resident associated enterprises
SOPARFI	Société de Participations Financières — an ordinary fully taxable Luxembourg holding and financing company
TRC	Tax Residency Certificate

3. Scope, Purpose and Basis of Preparation

3.1 Purpose

This document has been prepared to evidence that the pricing of the intra-group financing transaction described in Section 5 is consistent with the arm's length principle. It is structured to follow the Local File content requirements set out in Annex II to Chapter V of the OECD Guidelines, applied to the financing transaction in scope, and extended to cover the related Indian and Luxembourg provisions that bear on the deductibility and taxation of the interest.

3.2 Documentation framework applied

Framework	Relevance to this analysis
OECD Guidelines, Chapter I	Arm's length principle, comparability factors, accurate delineation and the analysis of risk
OECD Guidelines, Chapter V and Annex II	Local File structure and content requirements
OECD Guidelines, Chapter VII	Treatment of passive association and incidental benefits of group membership
OECD Guidelines, Chapter X (2020)	Financial transactions: delineation of debt, credit rating, risk-free and risk-adjusted returns, intra-group loans
Luxembourg Circular LIR n° 56/1 - 56bis/1	Substance, equity at risk and remuneration requirements applicable to MLF
Articles 56 and 56bis, Luxembourg Income Tax Law	Statutory basis for the arm's length principle in Luxembourg
India, Sections 92 to 92F, Income-tax Act 1961	Indian domestic transfer pricing provisions applicable to Forgeline
India, Section 94B, Income-tax Act 1961	Limitation on interest deduction for borrowings from non-resident associated enterprises
India-Luxembourg Double Taxation Avoidance Agreement	Allocation of taxing rights over interest and the applicable withholding tax cap
India, Foreign Exchange Management (Borrowing and Lending) Regulations, as amended 2026	ECB framework governing lender eligibility, maturity and pricing

3.3 Illustrative nature of this study and data sourcing

This document is an independent illustrative study prepared for portfolio and professional development purposes. It is not a client deliverable, does not represent the transfer pricing position of any actual taxpayer, and makes no assertion about the tax affairs of any real company.

The entities named in this study, Meridian Lux Finance S.à r.l. and Forgeline Industries Pvt. Ltd., are fictional. They are fictional for two reasons. First, the terms of real intra-group loans are confidential and are not publicly disclosed by any company, so no complete real fact pattern is available to work from. Second, a fictional structure keeps the analysis focused on demonstrating methodology rather than on commenting upon any real taxpayer's position.

The financial data underlying the borrower is real. Forgeline's financial profile is taken directly from the audited FY2025 consolidated financial statements of Bharat Forge Ltd., a company listed on the National

Stock Exchange of India, used here as the stand-in data source for the fictional borrower. Every ratio, credit metric and financial figure in Section 9 and Appendix A derives from those published statements and is cited accordingly. The transaction and the entity names are illustrative. The numbers behind them are not.

India was selected as the borrower's jurisdiction deliberately rather than arbitrarily. Luxembourg is an established gateway jurisdiction for structuring investment into India under the India-Luxembourg tax treaty, and the Luxembourg to India financing corridor introduces live regulatory dimensions, namely India's ECB framework, Section 94B and the treaty withholding position, that interact directly with the transfer pricing analysis. Addressing those interactions alongside the OECD Chapter X analysis is a deliberate feature of this study.

3.4 Basis of the pricing date and the year covered

The facility was agreed and drawn on 1 April 2025, the first day of FY2026. Consistent with the principle that a financial transaction is priced at inception using information reasonably available to the parties at that time, the pricing date adopted is 31 March 2025, immediately prior to drawdown. The credit assessment at Section 9 is accordingly performed on the FY2025 audited consolidated accounts, being the most recent audited financial information available to the parties at the pricing date.

This Local File covers FY2026, the first full year in which interest accrues and is deducted. The interest computation at Section 11.4 and Appendix E is presented on that basis.

3.5 Reliance and limitations

This study was prepared without access to commercial transfer pricing and market data platforms, including Bloomberg, S&P Capital IQ, Refinitiv, LoanConnector, Moody's Analytics, TP Catalyst and Amadeus. All data used is publicly available and individually sourced. The consequences of this constraint, and the specific steps that would be taken differently with full database access, are set out at Section 15. That section should be read as an integral part of the analysis and not as a disclaimer appended to it.

4. The Local Entity

4.1 Group structure

The group is a multinational manufacturing group with operations across Europe and Asia. Its financing function is centralised in Luxembourg through MLF, which holds and deploys group treasury funds and provides debt funding to operating subsidiaries. The relevant portion of the group structure is set out below.

Entity	Jurisdiction	Role	Ownership
Ultimate Parent	Group holding jurisdiction	Group holding company	Ultimate parent
Meridian Lux Finance S.à r.l.	Luxembourg	Intra-group financing company (lender)	Wholly owned by Ultimate Parent

Entity	Jurisdiction	Role	Ownership
Forgeline Industries Pvt. Ltd.	India	Operating manufacturer (borrower)	Wholly owned by Ultimate Parent

Both entities are wholly owned, directly or indirectly, by the Ultimate Parent. MLF and Forgeline are therefore associated enterprises within the meaning of Article 9 of the OECD Model Tax Convention and Section 92A of the Indian Income-tax Act 1961. No third party holds an interest in either entity.

4.2 Description of the business

Forgeline is an Indian manufacturer of forged components supplying automotive, commercial vehicle, industrial and electric-vehicle end markets. The Company operates capital-intensive forging and machining facilities, serves a mix of domestic and export customers, and competes on engineering capability, quality certification and delivery reliability rather than on price alone. Export sales generate foreign currency receipts, which are relevant to the currency risk analysis at Section 7.3.

For the year ended 31 March 2025, the Company recorded revenue from operations of INR 151,228 million and EBITDA of INR 26,939 million, representing an EBITDA margin of 17.8 per cent. A full summary of the Company's financial position is set out at Appendix A.

4.3 Management structure and reporting lines

Forgeline is managed by a local board of directors resident in India, with operational responsibility for manufacturing, commercial and finance functions. The Chief Financial Officer of Forgeline reports to the group Chief Financial Officer. Treasury policy, including the sourcing of external and intra-group funding, is set at group level, with local execution and local board approval required for any borrowing. The decision to draw the facility documented in this Local File was approved by the Forgeline board.

4.4 Business strategy and rationale for the financing

The Company is executing a multi-year capacity expansion programme directed at electric-vehicle and industrial component lines. The programme requires committed medium-term funding that matches the investment horizon of the assets being acquired. Funding the programme from operating cash flow alone would have required the expansion to be phased over a longer period than the competitive position allowed.

The Company's funding strategy considered domestic Indian bank debt, an external commercial borrowing from a third-party international lender, an equity contribution from the parent, and an intra-group loan. The analysis of those alternatives is set out at Section 6.4.

4.5 Key competitors

The Company competes with other Indian and international forging and precision component manufacturers supplying the automotive, commercial vehicle and industrial equipment sectors. Competitors are primarily other tier-one and tier-two component suppliers with comparable engineering and certification capability. Competitive intensity in the electric-vehicle component segment is increasing as established suppliers add capacity, which is the commercial driver behind the timing of the expansion programme.

4.6 Business restructurings and intangibles transfers

Forgeline has not been party to any business restructuring within the meaning of Chapter IX of the OECD Guidelines during the year under review, and no intangibles have been transferred to or from the Company during that year. The financing transaction described in this Local File does not arise from, and is not connected to, any restructuring.

5. The Controlled Transaction

5.1 Description and commercial context

On the terms summarised below, MLF advanced EUR 50,000,000 to Forgeline on 1 April 2025 to fund the capacity expansion programme described at Section 4.4. The loan is denominated in euro and constitutes an External Commercial Borrowing for the purposes of Indian exchange control regulation. It is the only financing transaction between Forgeline and any group entity during the year under review.

5.2 Summary of key terms

Term	Detail
Lender	Meridian Lux Finance S.à r.l., Luxembourg
Borrower	Forgeline Industries Pvt. Ltd., India
Principal	EUR 50,000,000
Currency	EUR
Purpose	Capital expenditure — capacity expansion in forgings and electric-vehicle components
Drawdown	Single drawdown in full on 1 April 2025
Tenor	3 years from drawdown, maturing 31 March 2028
Repayment	Bullet repayment of principal at maturity
Interest basis	Fixed rate, payable semi-annually in arrears
Interest rate	EUR 3-year reference rate at the pricing date plus 78 bps (see Section 11)
Ranking	Senior unsecured
Security	None
Guarantees	None. No formal guarantee, keep-well agreement or letter of comfort is provided by the Ultimate Parent or any other group entity.

Term	Detail
Prepayment	Permitted at par on 30 days' notice, without prepayment premium
Default interest	Contractual rate plus 200 bps on overdue amounts
Governing law and jurisdiction	As set out in the executed loan agreement

5.3 Covenant package

The facility carries a covenant package consistent with senior unsecured corporate debt extended to an investment-grade borrower. The relevant covenants are set out below. The presence and nature of this package is a factor in the delineation analysis at Section 6 and in the comparability screening at Section 10.1.

Covenant	Nature and effect
Negative pledge	Restricts the creation of security over the Company's assets in favour of other financial creditors, preserving the lender's unsecured but unsubordinated position
Cross-default	Default under other material financial indebtedness constitutes a default under this facility
Information undertakings	Delivery of annual audited and semi-annual unaudited financial statements, and notification of any event of default
Change of control	Repayment may be required on a change of control of the borrower
Restriction on disposals	Limits disposals of material assets outside the ordinary course of business

5.4 Amounts and counterparty jurisdiction

Category	Counterparty	Jurisdiction	Amount
Loan principal drawn in FY2026	Meridian Lux Finance S.à r.l.	Luxembourg	EUR 50,000,000
Interest expense accrued in FY2026	Meridian Lux Finance S.à r.l.	Luxembourg	See Section 11.4 and Appendix E
Principal repaid in FY2026	Meridian Lux Finance S.à r.l.	Luxembourg	Nil (bullet maturity 31 March 2028)
Guarantee fees paid or received	None	Not applicable	Nil

Category	Counterparty	Jurisdiction	Amount
Other financing transactions with group entities	None	Not applicable	Nil

5.5 Proportionality of the facility

As a sense check on the commercial plausibility of the facility size, the loan is proportionate to the borrower's existing balance sheet. Applying an indicative exchange rate of INR 90 per EUR, which should be confirmed against the actual rate at the drawdown date, the facility of EUR 50 million is equivalent to approximately INR 4,500 million.

Measure	Computation	Result
Facility as a percentage of shareholders' equity	4,500 / 92,533	4.9%
Facility as a percentage of existing total borrowings	4,500 / 66,983	6.7%
Facility as a percentage of EBITDA	4,500 / 26,939	16.7%
Pro forma total debt / EBITDA after drawdown	(66,983 + 4,500) / 26,939	2.65x (from 2.49x)

The facility is material enough to warrant documentation but is not of a size that materially alters the Company's credit profile. Pro forma total debt to EBITDA moves from 2.49x to 2.65x, which remains comfortably within the same rating band. The credit analysis at Section 9 is accordingly performed on the reported position, and the immateriality of the pro forma effect is recorded at Section 15.2.

5.6 Intercompany agreement

The transaction is documented in a written loan agreement executed between MLF and Forgeline prior to drawdown, the key terms of which are summarised at Sections 5.2 and 5.3. In an actual Local File, an executed copy of that agreement would be attached as an appendix together with the drawdown notice and any subsequent amendment documentation, in accordance with Annex II to Chapter V of the OECD Guidelines.

6. Accurate Delineation of the Financial Transaction

Chapter X, Section B of the OECD Guidelines requires that a purported loan between associated enterprises be accurately delineated before it is priced. The question is whether the instrument, viewed in the context of the commercial and financial relations between the parties, is properly regarded as debt at all, and if so whether the full amount advanced should be respected as debt.

6.1 Economic characteristics of the instrument

Characteristic	Feature of this instrument	Consistent with third-party debt
Principal	Fixed and determinate — EUR 50,000,000	Yes
Maturity	Fixed 3-year term, maturing 31 March 2028	Yes
Interest obligation	Fixed rate, payable semi-annually, unconditional and not contingent on profitability	Yes
Participation in profits	None. The lender has no entitlement to profits or residual value.	Yes
Conversion rights	None. No feature converting the instrument into equity.	Yes
Ranking	Senior unsecured, ranking pari passu with the borrower's other unsecured creditors	Yes
Repayment mechanism	Bullet repayment at maturity, not contingent on the borrower's results	Yes
Creditor rights	The lender holds enforceable rights on non-payment, including default interest and acceleration	Yes
Covenant protection	Negative pledge, cross-default, change of control and information undertakings	Yes
Documentation	Written loan agreement executed prior to drawdown	Yes

No characteristic of the instrument carries equity features.

6.2 Debt and equity indicators

Applying the indicators identified in Chapter X of the OECD Guidelines to the facts:

Indicator	Application
Fixed maturity date	Present — three years, maturing 31 March 2028
Obligation to pay interest	Unconditional and not dependent on the borrower's results
Right to enforce payment of principal and interest	Present. MLF holds ordinary creditor remedies including acceleration.
Status relative to other creditors	Senior unsecured. Ranks alongside, not behind, ordinary trade and financial creditors.

Indicator	Application
Existence of financial covenants	Present. See Section 5.3.
Source of interest payments	Serviced from operating cash flow, not from further shareholder funding
Ability of the borrower to obtain funding from unrelated lenders	Present. See Section 6.4.
Use of funds	Acquisition of capital assets, a bona fide business purpose customarily debt-funded
Debt to equity ratio against industry norms	0.72x total debt to equity pre-drawdown, a moderate level for a capital-intensive manufacturer and well within industry norms
Capacity to service the obligation	EBIT interest coverage of 4.36x. The borrower services its existing interest burden more than four times over from operating profit.
History of repayment	The Company reduced total borrowings from INR 79,475 million to INR 66,983 million over FY2025, evidencing genuine debt service capacity

Every indicator supports debt characterisation. The final indicator carries particular weight: a borrower that has demonstrably repaid debt out of operating cash flow in the period immediately before drawdown is not a borrower whose purported debt is disguised equity.

6.3 Options realistically available — the lender

MLF's realistic alternatives to advancing this loan were as follows.

(a) Placing the funds with a third-party bank or in short-dated money market instruments. This would have generated a return at or close to the risk-free rate, materially below the return available on a three-year loan to an investment-grade-equivalent corporate borrower.

(b) Lending to a different group entity. This alternative would have generated a comparable return only where the alternative borrower presented a comparable credit profile, and would not have advanced the group's stated capital deployment priorities.

(c) Lending to Forgeline on the terms described. Given Forgeline's stand-alone credit profile at Section 9, this alternative offered MLF a risk-adjusted return consistent with what an independent lender would require for equivalent exposure.

An independent lender in MLF's position, holding funds available for deployment over a three-year horizon and assessing a borrower with a 4.36x interest coverage ratio and moderate leverage, would rationally have advanced this loan at a rate reflecting that credit profile. MLF's decision is commercially rational independently of the group relationship.

6.4 Options realistically available — the borrower

Forgeline's realistic alternatives were as follows.

(a) Third-party external commercial borrowing. Forgeline is eligible to raise an ECB from a foreign lender under India's exchange control framework, as confirmed at Section 13.3. Given its investment-grade-equivalent stand-alone credit profile, a third-party foreign lender would realistically have extended credit on broadly comparable terms. This is tested by the benchmarking analysis at Section 10 rather than assumed here.

(b) Domestic Indian bank debt. Available, but denominated in INR and priced off Indian domestic rates, which would have introduced a materially different cost and currency profile relative to the euro-denominated capital commitments the programme partly funds.

(c) An equity contribution from the parent. Available in principle. Rejected as less efficient: equity funding is permanent and non-returnable absent a formal capital reduction, does not carry the deductibility profile of debt, and would not have matched the defined three-year investment horizon of the programme.

(d) Deferring or scaling back the capacity expansion. Commercially available but strategically costly, as it would have ceded capacity in a segment where competitors were expanding.

A borrower in Forgeline's position, with genuine access to third-party debt and a defined medium-term investment requirement, would rationally have borrowed. The relevant transfer pricing question is therefore not whether Forgeline would have borrowed, but at what rate an independent lender would have lent. That question is addressed at Sections 9 to 11.

6.5 Regulatory boundary on the options realistically available

Because the loan is a foreign-currency borrowing by an Indian resident from a non-resident lender, it constitutes an ECB and falls within the Foreign Exchange Management (Borrowing and Lending) Regulations as amended in 2026. Three features of the amended framework bear on the delineation analysis. The compliance position is set out in full at Section 13.3.

Lender eligibility. The amended framework recognises as a permissible lender any person resident outside India, having removed the prior requirement that the lender be resident in a jurisdiction compliant with the Financial Action Task Force or IOSCO standards. MLF is a recognised lender. The transaction is one the borrower could lawfully have entered into.

Minimum average maturity period. The standard MAMP under the amended framework is three years. Manufacturing sector borrowers benefit from a carve-out permitting a MAMP of between one and three years, provided the outstanding amount of ECBs raised under that carve-out does not exceed USD 150 million. Forgeline is a manufacturing entity and the facility sits well within that threshold. The three-year tenor adopted satisfies the standard MAMP and sits at the conservative end of what the borrower could have negotiated. The tenor reflects a commercial matching of funding to asset life rather than a structure driven by regulatory constraint.

Pricing. The amended framework replaced the previous prescribed all-in-cost ceiling with a requirement that borrowing costs be consistent with prevailing market conditions. This is a material point: the Indian exchange control regulator and the arm's length principle now apply a substantively aligned standard to the same transaction. A rate properly benchmarked to market comparables for the borrower's credit profile satisfies both.

6.6 Conclusion on delineation

The economic characteristics of the instrument, the debt and equity indicators, the options realistically available to both parties, and the regulatory framework governing the transaction all support the same conclusion.

The instrument is accurately delineated as debt in its entirety. No part of the principal advanced falls to be recharacterised as equity, and no part of the transaction falls to be disregarded under Chapter I, Section D.2 of the OECD Guidelines. The full principal of EUR 50,000,000 is respected as debt, and the appropriate transfer pricing question is the arm's length rate of interest payable on it.

7. Functional Analysis

7.1 Functions performed

Function	MLF (lender)	Forgeline (borrower)
Sourcing and deployment of funding	Performed	Not performed
Credit assessment of the counterparty	Performed	Not applicable
Negotiation of terms	Performed	Performed
Approval of the facility	Performed by MLF board in Luxembourg	Performed by Forgeline board in India
Ongoing monitoring of the exposure	Performed	Not applicable
Covenant compliance and reporting	Monitored	Performed
Deployment of funds into operating assets	Not performed	Performed
Debt service	Not applicable	Performed
Regulatory reporting (ECB returns)	Not applicable	Performed

7.2 Assets employed

MLF employs financial capital. It holds the funds advanced and bears them at risk for the duration of the facility. Forgeline employs the tangible manufacturing assets acquired with the proceeds, together with the operational workforce and technical capability required to convert those assets into revenue.

7.3 Risks assumed and control over risk

Chapter X requires that the party bearing a financial risk have both the capacity to control that risk and the financial capacity to assume it. Applying the risk analysis framework in Chapter I, Section D.1.2.1:

Risk	Borne by	Control over the risk	Financial capacity
Credit risk on the loan	MLF	MLF performs the credit assessment and monitoring function and holds decision-making authority over the extension, continuation and enforcement of credit	MLF must hold equity commensurate with the exposure. See Section 12.3.
Interest rate risk	MLF	The rate is fixed for the term, so the lender bears the risk of adverse movements in market rates over the three years	MLF
Currency risk	Forgeline	The borrower bears the EUR/INR exposure on a euro-denominated obligation serviced from partly INR revenues, and decides whether to hedge	Forgeline, mitigated by export receipts providing a partial natural hedge
Liquidity risk	MLF	MLF commits funds for a fixed three-year term and cannot demand early repayment	MLF
Operational risk on the funded assets	Forgeline	Forgeline	Forgeline

The allocation of credit risk to MLF is consistent with its functional profile, provided MLF has the substance to perform the control functions attributed to it. That condition is examined at Section 12.2. The consequence if it is not met is set out at Section 12.4.

7.4 Characterisation of the lender

MLF is not a pure intermediary conduit. It performs credit assessment and monitoring functions, exercises decision-making authority over the deployment of group treasury funds, and bears credit risk on the exposure against its own equity. It is accordingly characterised as a financing entity performing a genuine risk-bearing function, and is entitled to a risk-adjusted return rather than a service fee or a risk-free return.

This characterisation has two consequences. It determines MLF's entitlement under Chapter X, addressed at Section 12.4, and it places MLF outside the intermediary simplification available under Circular 56/1, addressed at Section 12.5.

8. Selection of the Transfer Pricing Method

8.1 Methods considered

Method	Assessment
Comparable Uncontrolled Price (CUP)	Selected. Interest rates on debt instruments with comparable credit quality, currency, tenor and timing are observable in public debt markets. The CUP method applied using external comparables provides the most direct measure of an arm's length rate.
Cost of funds approach	Considered and rejected as a primary method. Chapter X recognises the approach where comparables are unavailable, but it produces a lender-side rather than market-side measure and depends on reliable data on the lender's own funding cost, which does not reflect the borrower's credit risk. It is noted at Section 12.4 as a cross-reference for the lender-side analysis.
Credit default swap spreads	Considered and rejected. No credit default swap references the borrower or a sufficiently close comparable, and Chapter X notes the volatility and limited comparability of such data for this purpose.
Economic modelling and option pricing	Considered and rejected. Appropriate where market data is genuinely absent. Not required here, as bond market data for the relevant rating and currency is observable.
Bank opinions	Rejected. Chapter X, paragraph 10.107 states that bank opinions are not regarded as providing evidence of arm's length terms, as they do not constitute an actual offer to lend.
Transactional Net Margin Method	Not applicable. A financing transaction is priced by reference to the rate of interest, not by reference to a net margin on an operating activity.

8.2 Selected method and rationale

The CUP method is selected. Debt markets provide observable pricing for instruments differentiated by credit rating, currency, tenor and issue date, which are the principal comparability factors for a loan. Application of the method requires two steps: establishing the credit quality of the borrower, addressed at Section 9, and identifying comparable market instruments priced for that credit quality, addressed at Section 10.

8.3 Tested party

The borrower, Forgeline, is the tested party. In a lending transaction the price is principally a function of the borrower's credit risk, and it is the borrower's credit profile that determines what an independent lender would charge. The lender's own position is analysed separately at Section 12 as the second side of the same transaction.

8.4 Use of a single-year analysis

The pricing conclusion is derived on a single-year basis, using the FY2025 audited accounts as the most recent audited data available at the pricing date. This is appropriate for a financial transaction priced at inception, because the rate is fixed by reference to the borrower's creditworthiness at the moment credit is extended rather than to results averaged over a period.

A multi-year analysis has nonetheless been considered. The prior-year comparison at Section 9.3 shows that interest coverage improved from 3.48x in FY2024 to 4.36x in FY2025 while total borrowings fell, so a two-year view would place the borrower at the lower end of the same investment-grade range rather than in a different one. The limitations of relying on a single year for a cyclical manufacturer are recorded at Section 15.2.

8.5 Key assumptions

The following assumptions underpin the analysis and would require confirmation against primary documentation in an actual engagement:

1. The loan agreement terms are as summarised at Sections 5.2 and 5.3 and were agreed at or about the pricing date of 31 March 2025.
2. No formal guarantee, keep-well agreement, letter of comfort or other credit enhancement is provided by any group entity in respect of this facility.
3. The FY2025 audited consolidated financial statements fairly represent the borrower's financial position at the pricing date, and no material event after the balance sheet date alters the credit assessment.
4. The facility was drawn in full on 1 April 2025 and remains outstanding throughout FY2026.
5. The borrower's existing debt is not subordinated to this facility and does not contain terms that would alter the ranking assumed at Section 5.2.
6. MLF satisfies the Luxembourg substance requirements set out at Section 12.2 throughout the period.

9. Credit Rating Analysis

9.1 Approach

The borrower is not rated by any recognised credit rating agency in respect of the euro-denominated senior unsecured obligations in question. A stand-alone credit rating has therefore been derived.

Chapter X, Section C recognises that where an official rating is unavailable, a rating may be constructed from the borrower's financial data. Absent access to a commercial rating model such as Moody's RiskCalc or S&P CreditModel, the rating here is derived using a published ratio-to-rating mapping methodology based on interest coverage, cross-checked against leverage metrics. The methodology and its limitations are set out at Section 15.2.

9.2 Financial data of the borrower

All figures are taken from the borrower's audited consolidated financial statements for the year ended 31 March 2025, being the most recent audited data available at the pricing date. Full data is set out at Appendix A.

Metric (INR million)	FY2025	FY2024
Revenue from operations	151,228	156,821
EBITDA	26,939	25,579
EBITDA margin	17.8%	16.3%
EBIT	18,203	17,097
Finance costs	4,175	4,912
Total borrowings	66,983	79,475
Cash and bank balances	12,914	16,899
Net debt	54,069	62,576
Shareholders' equity	92,533	71,702

9.3 Ratio computation

Ratio	Computation (FY2025)	FY2025	FY2024
EBIT interest coverage	18,203 / 4,175	4.36x	3.48x
Total debt / EBITDA	66,983 / 26,939	2.49x	3.11x
Net debt / EBITDA	54,069 / 26,939	2.01x	2.45x
Total debt / equity	66,983 / 92,533	0.72x	1.11x
Net debt / equity	54,069 / 92,533	0.58x	0.87x

Every metric improved year on year. Coverage strengthened from 3.48x to 4.36x, and leverage on each measure fell materially, driven by a reduction in total borrowings of INR 12,492 million alongside EBITDA growth of 5.3 per cent.

9.4 Derivation of the stand-alone rating

Applying the FY2025 interest coverage ratio to the published ratio-to-rating mapping for large non-financial corporates set out at Appendix B:

RATING CONCLUSION

EBIT interest coverage of 4.36x falls within the band 4.25x to 5.50x, which maps to a rating of A2 / A with an associated default spread of 0.78 per cent, being 78 basis points.

Cross-check against leverage metrics. Total debt to EBITDA of 2.49x and net debt to EBITDA of 2.01x are consistent with a solid investment grade profile and do not contradict the coverage-implied rating. Total debt to equity of 0.72x is moderate for a capital-intensive manufacturer. The direction of travel is also favourable, as set out at Section 9.3.

Sensitivity to the prior year. On FY2024 data, interest coverage of 3.48x would have mapped to A3 / A- with a spread of 89 bps, one notch lower. The rating conclusion is therefore drawn from the stronger of two consecutive investment-grade years. This is noted at Section 11.2, where the resulting range is set out.

Conclusion. The borrower's stand-alone credit rating at the pricing date is assessed at A2 / A equivalent.

9.5 Implicit support and group membership

Chapter X addresses the effect of group membership on a borrower's credit standing. The guidance recognises that a group member may benefit from implicit support, being an expectation on the part of lenders that the wider group would step in to support the entity, even where no formal guarantee exists. Consistent with the principle at Chapter VII, paragraph 7.13, such passive association is not itself a chargeable service, but it may appropriately inform the credit rating used to price the borrowing.

The degree of any uplift depends on the borrower's strategic importance to the group, its operational and financial integration, shared branding, and the parent's capacity and incentive to support it.

Position adopted: no uplift is applied. The stand-alone rating derived at Section 9.4 is already investment grade at the A2 / A level. The borrower services its existing interest burden more than four times over from operating profit and reduced its debt in the year before drawdown. It is creditworthy on its own financial merits without reference to group affiliation. Applying a further uplift would require the analysis to carry a judgement that is neither necessary to support the pricing conclusion nor readily evidenced.

This is the conservative position. An uplift would lower the arm's length rate and therefore reduce the interest deductible in India. By declining to apply one, the analysis adopts the position less favourable to the borrower's Indian deduction, which is the position more readily defensible before the Indian tax authority.

9.6 Country risk

The borrower is resident in India while the obligation is denominated in euro. Two points arise.

First, because the instrument is euro-denominated, the relevant benchmark is the euro debt market and the base rate used at Section 11 is a euro reference rate rather than an Indian domestic rate. The analysis does not import Indian domestic interest rate levels, which would reflect INR inflation and monetary policy rather than the cost of euro funding.

Second, the question arises whether the rating should be notched down to reflect country risk. In a full engagement this would be assessed by reference to the sovereign ceiling methodology applied by rating agencies and to the borrower's export revenue profile, which generates foreign currency earnings that partially mitigate transfer and convertibility risk. This analysis does not apply a country risk notch-down. That decision is recorded as a methodological limitation at Section 15.2, since a notch-down would widen the applicable credit spread.

10. Benchmarking Analysis

10.1 Search strategy and criteria

The objective is to identify observable market pricing for debt instruments comparable to the tested transaction across the comparability factors that drive pricing in debt markets.

Comparability factor	Criterion applied
Credit quality	Issuer rated A3 to A1 on the Moody's scale, or A- to A+ on the S&P scale, bracketing the tested party's A2 / A stand-alone rating
Currency	EUR denominated
Tenor	Residual or original maturity of 2 to 4 years, bracketing the tested transaction's 3-year tenor
Timing	Priced during calendar 2025. Proximity to the pricing date of 31 March 2025 is treated as a comparability factor and weighted in the assessment at Section 10.4 rather than applied as an absolute cut-off, because restricting the window more tightly would have reduced the accepted set below a usable number. The consequences are recorded at Section 15.2.
Seniority	Senior unsecured
Security	Unsecured
Guarantees	No third-party guarantee or credit enhancement
Issuer type	Non-financial corporate, industrial or manufacturing sector
Optionality	Bullet structure. Instruments with conversion, subordination or equity features excluded.
Issue size	Benchmark size, being an issue large enough to be priced by a syndicate in the public market rather than privately placed

10.2 Data sources

Source	Use	Status
ECB Data Portal, euro area AAA government yield curve, 2, 3, 4 and 5 year spot rates	Risk-free reference rate for the tested transaction at the pricing date, and for each comparable instrument at its own issue date and tenor	Used
Public instrument reference database	Issue date, coupon, currency, maturity, issue size and seniority for each candidate instrument	Used
Rating agency actions and issuer announcements	Confirmation of each candidate issuer's credit rating as at its issue date	Used
Published ratio-to-rating and default spread mapping (Appendix B)	Derivation of the credit spread at Section 10.5	Used
FRED, ICE BofA index series	Examined as a potential source of euro corporate index pricing by rating band	Examined; not used. Euro coverage extends only to high yield and emerging market corporate indices, neither comparable to an A-rated industrial borrower.

10.3 Screening approach

A comparable search of this kind proceeds in three stages. An initial universe is drawn from EUR-denominated investment grade non-financial corporate issuance. A quantitative screen then applies the rating, tenor, currency and timing criteria at Section 10.1. Finally a qualitative review removes instruments whose terms are not comparable to a senior unsecured bullet facility.

The rejection matrix at Appendix D records the basis on which instruments were excluded. Recording rejections, and not only acceptances, is a required feature of a defensible comparables search: a set of accepted comparables presented without its rejection rationale cannot be tested by a reviewer.

Because the instruments in the search were issued on different dates, each observed spread is measured against the risk-free rate prevailing on that instrument's own issue date at its own tenor, taken from the same ECB yield curve used to price the tested transaction at Section 11.1. Measuring each observation against its contemporaneous risk-free rate removes the effect of movements in the level of interest rates over the search window and isolates the credit spread, which is the element being benchmarked. It also places every observation on the same basis as the tested transaction.

The spreads are derived from coupons at issue. Benchmark corporate bonds are priced at or close to par, so the coupon is a close proxy for the reoffer yield. Primary market pricing is used in preference to secondary market yields because a new issue is an actual borrowing transaction agreed between independent parties on a known date, which is closer in nature to the tested transaction than a secondary market quotation.

Search funnel

Stage	Count
European corporate issuers screened	24
Individual instruments examined for issue date, coupon, currency, maturity and issue size	158
EUR-denominated instruments issued during calendar 2025	7
Rejected on tenor outside the 2 to 4 year band	2
Rejected on issuer rating outside the A3 to A1 band	3
Accepted comparables	2

10.4 Accepted comparable set

Issuer and instrument	Rating at issue	Issued	Matures	Tenor	Risk-free rate at issue	Spread (bps)
VINCI S.A. 2.625%, EUR 300m	A3 / A	07.04.2025	07.04.2028	3.0y	1.8307% (3Y)	79.4
Schneider Electric SE 2.625%, EUR 750m	A2 / A	02.09.2025	02.09.2029	4.0y	2.1523% (4Y)	47.3

Both accepted comparables are EUR-denominated senior unsecured bullet issues by non-financial corporates rated within the A3 to A1 screening band, carrying no third-party guarantee or credit enhancement.

Comparable 1, VINCI, is the closest match to the tested transaction on every comparability factor. It is rated A3 / A against the tested party's A2 / A, is euro denominated, has a tenor of exactly three years matching the tested loan, and was issued on 7 April 2025, seven days after the pricing date. It priced at a spread of 79.4 basis points.

Comparable 2, Schneider Electric, matches the tested party's A2 / A rating exactly but is a weaker match on the other factors: its tenor is four years rather than three, and it was issued in September 2025, roughly five months after the pricing date. It priced at 47.3 basis points.

Observed range

Statistic	Spread (bps)
Lowest observed	47.3
Highest observed	79.4

Statistic	Spread (bps)
Closest-matched observation (VINCI)	79.4
Concluded spread for the tested transaction	78.0

With only two accepted observations, a quartile range cannot meaningfully be computed and none is presented. The observations are used as corroboration of the spread derived at Section 10.5 rather than as a standalone statistical benchmark. The consequences of the small sample are recorded at Section 15.2.

10.5 Credit spread derivation and reconciliation to market evidence

Independently of the single-name search, a credit spread has been derived from the published rating-to-default-spread mapping set out at Appendix B, which is the same source used to derive the rating at Section 9.4 and is internally consistent with it.

Input	Value	Source
Stand-alone credit rating at the pricing date	A2 / A	Section 9.4
Associated default spread for that rating band	0.78% (78 bps)	Appendix B
Adjustment for implicit support	Nil	Section 9.5
Adjustment for country risk	Nil	Section 9.6
Derived arm's length credit spread	78 bps	

This approach is a recognised practitioner method where database access to single-name comparable instruments is unavailable. Its limitations, being that it produces a spread calibrated to a broad rating band rather than to instruments matched on tenor and issue date, and that the underlying mapping is derived principally from United States market data, are recorded at Section 15.2.

Reconciliation to the market observations

The derived spread of 78 basis points was tested against the market observations at Section 10.4. The comparison is set out below.

Basis	Spread (bps)	Difference from derived spread
Derived from the rating-to-spread mapping (Appendix B)	78.0	—
VINCI, the closest-matched market comparable	79.4	+1.4

Basis	Spread (bps)	Difference from derived spread
Schneider Electric, a weaker match on tenor and timing	47.3	(30.7)
Range of observed comparable pricing	47.3 – 79.4	Derived spread falls within the observed range

The derived spread of 78 basis points sits within 1.4 basis points of the pricing achieved by an A-rated euro corporate borrower on a three-year senior unsecured issue completed seven days after the pricing date. That is a close corroboration from an independent basis of measurement, and it materially strengthens confidence in the conclusion.

The concern recorded at Section 15.2, that the rating-to-spread mapping is derived principally from United States market data and may not reflect euro market conditions, is therefore not borne out at the A rating level on the evidence available. Had the market observations diverged materially from the derived spread, the market evidence would have taken precedence as the more direct measure and the conclusion would have been revised accordingly.

10.6 Comparability adjustments

No comparability adjustments have been made to the derived spread or to the observed comparables. Each adjustment considered is set out below, with the reason it was or was not applied.

Potential adjustment	Consideration
Tenor adjustment	Where comparable instruments differ materially in maturity from the three-year tested transaction, interpolation along the credit curve would be applied
Currency adjustment	Not required, as the search is restricted to EUR-denominated instruments
Timing adjustment	Considered and not applied. The VINCI observation was priced seven days after the pricing date and needs no adjustment. The Schneider Electric observation was priced approximately five months later; the movement in the underlying risk-free rate over that interval is already removed by measuring each observation against its contemporaneous curve rate, but any movement in credit spreads over the interval is not. No reliable euro A-rated spread index was available to quantify that movement, so no adjustment has been made and the difference is instead disclosed at Section 15.2.
Seniority and security adjustment	Not required, as the search is restricted to senior unsecured instruments
Covenant package adjustment	The tested facility carries a covenant package typical of investment grade corporate debt. No adjustment is considered necessary.

Potential adjustment	Consideration
Size adjustment	Considered and regarded as immaterial. The facility is of a size readily absorbed by the EUR corporate market.

11. Arm's Length Conclusion and Interest Computation

11.1 Construction of the rate

The arm's length interest rate is constructed as the sum of a risk-free reference rate appropriate to the currency and tenor of the instrument, and a credit spread reflecting the borrower's credit risk.

Component	Value	Basis
EUR 3-year reference rate at 31 March 2025	2.051%	ECB euro area AAA government bond yield curve, 3-year spot rate, series YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y, observation of 31 March 2025 (2.0511251309%)
Credit spread	78 bps	Section 10.5
Arm's length interest rate	2.831%	

The reference rate is taken from the European Central Bank euro area yield curve for government bonds of issuers rated triple A, three-year spot rate, on the observation date of 31 March 2025. That curve is the appropriate risk-free benchmark for a euro-denominated instrument of this tenor. It should be distinguished from the European Central Bank deposit facility rate, which stood at 2.50 per cent following the March 2025 reduction: the deposit facility rate is an overnight policy rate and is not a three-year risk-free benchmark, so it is not used here.

11.2 Arm's length range

Transfer pricing conclusions are expressed as a range rather than a single point, because independent parties transacting in comparable circumstances would not all agree an identical price. Where a comparable set is large enough, the interquartile range of observed prices supplies that range directly. The search at Section 10.4 produced only two accepted comparables, which is sufficient to corroborate the concluded spread but not to support a quartile calculation. The range below is therefore constructed from the rating sensitivity of the derived spread, and the market observations are used to test it rather than to define it.

On the approach at Section 10.5, the derived spread of 78 bps sits between the published spreads for the adjacent rating bands, being 89 bps at A3 / A- and 70 bps at A1 / A+. This provides a defensible spread range as follows:

Rating band	Spread (bps)	All-in rate	Position
A1 / A+	70	2.751%	Applies if a one-notch uplift for implicit support were adopted.
A2 / A	78	2.831%	Concluded rate. FY2025 stand-alone coverage of 4.36x.
A3 / A-	89	2.941%	Applies on FY2024 coverage of 3.48x, or if a one-notch country risk deduction were applied.
Defensible range	70 – 89 bps	2.751% – 2.941%	

A movement of one rating notch in either direction moves the arm's length spread by approximately 8 to 11 basis points, which on a EUR 50 million facility equates to approximately EUR 40,000 to EUR 55,000 of annual interest. The pricing conclusion is therefore not hypersensitive to a single-notch rating judgement, and the concluded rate sits at the midpoint of a range bounded by two defensible alternative positions.

The market observations at Section 10.4 sit consistently within this framework. The closest-matched comparable priced at 79.4 basis points, which falls inside the 70 to 89 basis point range and close to the concluded 78 basis points. The observed range of comparable pricing, 47.3 to 79.4 basis points, overlaps the derived range across its lower portion.

11.3 Conclusion

The interest rate applied to the EUR 50,000,000 facility between MLF and Forgeline is considered to be consistent with the arm's length principle where set at 2.831 per cent, being the EUR three-year reference rate of 2.051 per cent at the pricing date plus a credit spread of 78 basis points, and in any event within an all-in range of 2.751 to 2.941 per cent.

11.4 Interest computation for FY2026

The facility was drawn in full on 1 April 2025 and remains outstanding throughout FY2026, so a full year of interest accrues. The full schedule, including the INR equivalent and the sensitivity to the rating conclusion, is set out at Appendix E.

Component	Rate	Amount
Principal outstanding throughout FY2026	—	EUR 50,000,000
EUR 3-year reference rate at the pricing date	2.051%	
Credit spread	0.78%	
All-in interest rate	2.831%	

Component	Rate	Amount
Interest expense for FY2026		EUR 1,415,563
INR equivalent at an indicative INR 90 per EUR		INR 127.4 million

The FY2026 interest charge is EUR 1,415,563, equivalent to approximately INR 127.4 million. This figure is carried into the Section 94B and withholding tax analyses at Section 13.

12. The Lender's Return and Luxembourg Regulatory Context

Sections 6 to 11 analyse the transaction from the borrower's perspective, establishing the rate an independent lender would have charged. This section addresses the second side of the same transaction: whether MLF, as the Luxembourg lender, is entitled to retain that return.

12.1 Applicable guidance

MLF is a Luxembourg resident company engaged in intra-group financing. Its remuneration is governed by Articles 56 and 56bis of the Luxembourg Income Tax Law and by Circular LIR n° 56/1 - 56bis/1, which applies to Luxembourg companies granting interest-bearing loans or advances to related enterprises funded by financial instruments and means.

12.2 Substance requirements

Circular 56/1 requires that a Luxembourg financing company have genuine substance in Luxembourg, evidenced rather than asserted. The requirements, and their application to MLF, are as follows.

Requirement	Application to MLF
Qualified personnel able to manage and control the transactions	MLF must employ, or have available to it, personnel with the competence to perform credit assessment and monitoring. This is the functional counterpart of the risk allocation at Section 7.3.
Key decisions taken in Luxembourg	Decisions on the extension, monitoring and enforcement of the facility must be taken by MLF's management in Luxembourg and minuted accordingly.
Majority of directors resident in Luxembourg, or non-residents taxable in Luxembourg on their directorship income	To be evidenced by board composition and tax status of directors.
Not tax resident in another jurisdiction	To be confirmed, including by reference to the place of effective management.
Own bank account	To be confirmed.

Requirement	Application to MLF
Equity commensurate with the risks assumed	Addressed at Section 12.3.

The substance requirements are not a formality standing apart from the transfer pricing analysis. They are the condition on which the risk allocation at Section 7.3 depends. If MLF lacks the capability to control credit risk, that risk cannot be allocated to it under Chapter I, Section D.1.2.1, with the consequence set out at Section 12.4.

12.3 Equity at risk

Circular 56/1 removed the previous fixed equity threshold, which had been set at 1 per cent of the nominal value of the loans granted, capped at EUR 2 million. Adequate equity is now determined by reference to a substantive analysis of the risks actually assumed by the financing company in each arrangement.

For MLF, the relevant exposure is the credit risk on a EUR 50 million senior unsecured three-year facility to an A2 / A equivalent borrower. An assessment of adequate equity would take account of the probability of default associated with that rating over a three-year horizon, the expected loss given default on a senior unsecured claim, and MLF's aggregate exposure across its wider loan portfolio. Where MLF's equity is insufficient to absorb that expected loss, part of the return would be reallocated away from MLF notwithstanding the contractual terms.

12.4 MLF's entitlement under Chapter X

Chapter X distinguishes between three positions a funding entity may occupy, with materially different consequences.

Position	Entitlement	Application to MLF
Entity exercises control over financial risk and has the financial capacity to bear it	Full risk-adjusted return, being the entire interest earned less its own funding cost	This is MLF's position , on the functional analysis at Section 7 and subject to the substance conditions at Section 12.2 being met
Entity provides funding but does not control the financial risk, though it has capacity to bear it	Risk-free return only. The residual return is allocated to the party controlling the risk.	Not applicable, provided MLF meets the substance requirements
Entity neither controls the risk nor performs any relevant function	No more than a risk-free return, and potentially only a service fee	Not applicable

On the analysis at Section 7.4, MLF performs the credit assessment, approval and monitoring functions and bears the exposure against its own equity. It is accordingly entitled to the full risk-adjusted return on the facility. The margin MLF retains is the difference between the interest received from Forgeline and MLF's

own cost of funding the advance, and the arm's length nature of that margin would be documented in MLF's own Luxembourg Local File. That documentation falls outside the scope of this file, which addresses the Indian taxpayer's position, but is noted here for completeness of the two-sided analysis.

12.5 Non-applicability of the simplification measure

Circular 56/1 provides a simplification under which a Luxembourg company performing purely intermediary intra-group financing transactions may be accepted as compliant with the arm's length principle where it earns a minimum after-tax return on the assets financed, subject to exchange of information and periodic revision by the Luxembourg tax authorities.

That simplification is not applicable to MLF. As set out at Section 7.4, MLF is not a pure intermediary. It deploys group treasury funds, performs credit assessment and monitoring, exercises decision-making authority, and bears credit risk against its own equity. A financing entity performing genuine risk-bearing functions falls outside the intermediary simplification and requires a full transfer pricing analysis of the kind set out in this document.

12.6 Withholding tax on interest paid from Luxembourg

Luxembourg does not generally levy withholding tax on arm's length interest payments. The withholding position relevant to this transaction arises on the Indian side, where the interest is paid, and is addressed at Section 13.2.

13. Interaction with Other Tax Rules

An arm's length interest rate is a necessary but not sufficient condition for the interest to be deductible in full in India and taxed as the parties expect. Three further provisions apply to this transaction.

13.1 India — Section 94B interest limitation

Section 94B of the Indian Income-tax Act 1961, introduced by the Finance Act 2017 in response to Action 4 of the OECD BEPS project, limits the deduction of interest paid by an Indian company to a non-resident associated enterprise. The provision operates independently of, and in addition to, the arm's length requirement in Sections 92 to 92F.

Element of the provision	Position for Forgeline
Scope — Indian company borrowing from a non-resident associated enterprise	Applies. Forgeline is an Indian company and MLF is a non-resident associated enterprise.
Threshold — interest expenditure to the associated enterprise exceeding INR 10 million (INR 1 crore)	Exceeded. Interest of approximately INR 127.4 million. Section 94B is therefore engaged.

Element of the provision	Position for Forgeline
Limit — the lower of 30 per cent of EBITDA, or actual interest paid to the associated enterprise	The 30 per cent EBITDA cap is far in excess of the interest payable. See the computation below.
Deemed associated enterprise debt — third-party debt backed by an explicit or implicit group guarantee	Not applicable. No group entity guarantees the facility, and Forgeline has no third-party debt supported by group guarantee.
Exclusions — banking and insurance businesses	Not applicable. Forgeline is a manufacturer.
Carry forward of disallowed interest	Not required, as no disallowance arises. Where applicable, excess interest may be carried forward for up to eight assessment years.

Section 94B computation

Item	Basis	Amount (INR million)
EBITDA	FY2025 audited, used as the indicative basis	26,939
Statutory cap at 30 per cent of EBITDA	$0.30 \times 26,939$	8,082
Interest payable to the associated enterprise	Section 11.4, at 2.831%	127.4
Interest payable, highest sensitivity case	A3 / A- spread of 89 bps	132.4
Excess interest subject to disallowance	Lower of cap and actual, less actual	Nil
Headroom under the cap	8,082 less 132.4	7,949
Associated enterprise interest as a percentage of EBITDA	$132.4 / 26,939$	0.49%

Conclusion. Section 94B is engaged because associated enterprise interest exceeds the INR 10 million threshold, but no disallowance arises. Even in the highest sensitivity case, interest represents approximately 0.49 per cent of EBITDA against a statutory cap of 30 per cent, leaving headroom of roughly INR 7,949 million. The conclusion would remain unchanged even if the facility were more than sixty times its present size.

The computation above uses FY2025 EBITDA as the indicative basis, because it is the most recent audited figure available. The statutory computation for the year of deduction uses the FY2026 EBITDA figure. Given the scale of the headroom, the substitution does not affect the conclusion.

13.2 India — withholding tax and treaty position

Interest paid by Forgeline to MLF is income arising in India and is subject to Indian withholding tax. The rate depends on the interaction of Indian domestic law and the India-Luxembourg Double Taxation Avoidance Agreement.

Element	Position
Treaty article	Article 11 (Interest) of the India-Luxembourg treaty. India, as the source state, retains a taxing right under Article 11(2).
Treaty rate cap	10 per cent of the gross amount of the interest under Article 11(2).
Domestic law rate	Indian domestic law rates apply where more beneficial to the taxpayer. Concessional treatment under Section 194LC may be available for qualifying external commercial borrowings, subject to the borrowing falling within a prescribed qualifying window. The position at the drawdown date must be confirmed.
Beneficial ownership	Treaty relief under Article 11 requires MLF to be the beneficial owner of the interest. MLF lends its own funds and bears the credit risk, which supports beneficial ownership, but the position depends on MLF's own funding arrangements.
Tax Residency Certificate	A valid TRC issued by the Luxembourg tax authorities is required, together with Form 10F and a no-permanent-establishment declaration.
Principal Purpose Test	The India-Luxembourg treaty is covered by the MLI, so treaty benefits are subject to the PPT. The commercial rationale for the financing at Section 4.4, and MLF's substance at Section 12.2, are the evidence supporting the PPT position.
Permanent establishment	Article 11(2) relief is unavailable where the interest is effectively connected with a permanent establishment of MLF in India. MLF has no permanent establishment in India.
Compliance mechanics	Tax Deduction Account Number, quarterly Form 27Q returns and issue of Form 16A certificates to MLF.

Withholding tax computation

Item	Amount
Gross interest for FY2026	EUR 1,415,563
Treaty rate under Article 11(2)	10%
Indicative withholding tax	EUR 141,556

Item	Amount
Net interest received by MLF	EUR 1,274,007

Whether the withholding cost is borne by Forgeline or by MLF depends on whether the loan agreement contains a gross-up clause. Where interest is grossed up, the effective cost to the borrower rises above the contractual rate, and the arm's length analysis should consider whether an independent borrower would have accepted that term. The agreement assumed here does not contain a gross-up clause, so the withholding is borne by MLF as the recipient.

13.3 India — ECB framework compliance

The compliance position under the Foreign Exchange Management (Borrowing and Lending) Regulations as amended in 2026 is summarised below. The substantive interaction with the delineation analysis is set out at Section 6.5.

Requirement	Position	Status
Eligible borrower	Forgeline is an Indian company registered under a Central Act	Satisfied
Recognised lender	MLF is a person resident outside India	Satisfied
Minimum average maturity period	3-year tenor. Standard MAMP is 3 years; the manufacturing carve-out permits 1 to 3 years up to USD 150 million.	Satisfied
Borrowing limit	Higher of USD 1 billion outstanding, or 300 per cent of net worth. The facility is far below either measure.	Satisfied
All-in cost	Must be consistent with prevailing market conditions. The benchmarked rate at Section 11 satisfies this.	Satisfied
Permitted end use	Capital expenditure. Not a prohibited end use such as real estate, chit funds or non-strategic securities transactions.	Satisfied
Reporting	Loan Registration Number to be obtained prior to drawdown; monthly Form ECB-2 returns to be filed through the designated authorised dealer bank	Ongoing obligation

13.4 Advance pricing agreements and tax rulings

Annex II to Chapter V of the OECD Guidelines requires the Local File to disclose any advance pricing agreements or tax rulings relating to the controlled transactions documented.

No unilateral, bilateral or multilateral advance pricing agreement is in force in respect of the tested transaction. No advance tax ruling, confirmation or comfort letter has been obtained from the Indian tax

authorities, and no advance tax agreement has been obtained from the Luxembourg tax authorities in respect of MLF's remuneration on this facility. No such application is pending in either jurisdiction.

For completeness, the simplification measure under Circular 56/1 is not relied upon, as set out at Section 12.5, so no exchange of information arises under that measure.

14. Compliance and Filing Requirements

The following compliance obligations arise in respect of the tested transaction. They are recorded here so that the documentation position and the filing position can be reconciled.

Obligation	Jurisdiction	Requirement
Accountant's report on international transactions (Form 3CEB)	India	Required under Section 92E for every taxpayer entering into an international transaction with an associated enterprise. The facility and the interest expense must be reported.
Contemporaneous transfer pricing documentation	India	Required under Section 92D and Rule 10D where aggregate international transactions exceed the prescribed threshold. This Local File forms part of that documentation.
Master File (Form 3CEAA)	India	Required where the group and entity thresholds under Rule 10DA are met. To be assessed at group level.
Country-by-Country Report (Form 3CEAD)	India	Required where the group's consolidated revenue exceeds the prescribed threshold. Filing obligation rests with the Ultimate Parent or a designated surrogate entity.
Loan Registration Number and Form ECB-2	India	Loan Registration Number to be obtained before drawdown. Monthly Form ECB-2 returns to be filed through the authorised dealer bank throughout the life of the facility.
Withholding tax returns (Form 27Q) and certificates (Form 16A)	India	Quarterly returns and issue of certificates to MLF in respect of tax withheld on interest.
Transfer pricing documentation for the lender	Luxembourg	MLF must maintain documentation supporting the arm's length nature of its own margin, consistent with Articles 56 and 56bis and Circular 56/1.
Tax Residency Certificate and Form 10F	Luxembourg / India	MLF to obtain a TRC annually and provide Form 10F to Forgeline to support treaty relief on withholding.

15. Limitations and Further Work

This section records the constraints under which the analysis was performed and what would be done differently without them. It is an integral part of the study and is not a disclaimer.

15.1 Data access limitations

Commercial databases. The study was prepared without access to Bloomberg, S&P Capital IQ, Refinitiv, LoanConnector, Moody's Analytics, TP Catalyst or Amadeus. These are the standard tools for a benchmarking exercise of this kind, and their absence is the principal constraint on the analysis.

Market data sourced for this version. Two market inputs were obtained and are incorporated:

Input	Section	Source and status
EUR 3-year reference rate at 31 March 2025	Section 11.1	ECB Data Portal, euro area AAA government yield curve, 3-year spot rate, series YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y. Observation of 31 March 2025 at 2.0511251309 per cent.
Comparable market instruments	Section 10.4	Instrument reference data for 158 bonds across 24 European corporate issuers, screened as set out at Section 10.3. Risk-free rates at each issue date and tenor taken from the same ECB curve. Issuer ratings confirmed against rating agency and issuer announcements.

Index data examined and not used. The Federal Reserve Bank of St. Louis FRED database was examined as a potential source of euro corporate index pricing. Its ICE BofA euro coverage extends only to high yield and emerging market corporate indices, neither of which is comparable to an A-rated industrial borrower. No euro investment grade corporate index was available from that source, so the analysis relies on single-name instrument data instead.

Primary source verification. The borrower's financial data was extracted from the published FY2025 results and from an equity research summary of the same results. Those figures should be verified directly against the audited annual report, cited at Appendix G, before the study is regarded as final.

Exchange rate. An indicative rate of INR 90 per EUR has been used throughout for the INR equivalents. The actual closing rate at 31 March 2025 should be substituted. Given the scale of the Section 94B headroom, the substitution does not affect any conclusion.

15.2 Methodological limitations

Synthetic rating methodology. The rating at Section 9.4 is derived from a ratio-to-rating mapping keyed principally to interest coverage. Rating agency methodologies weigh a substantially broader set of factors, including business risk profile, market position, industry cyclicality, management and governance, financial policy and liquidity. A single-ratio mapping is a reasonable proxy but it remains a proxy. The cross-check against leverage metrics partially mitigates this but does not replace a full model.

Small comparable sample. The search described at Section 10.3 produced only two accepted comparables. That is sufficient to corroborate the derived spread but not to support a statistical interquartile range, and no range is claimed. The shortfall arises from the source used: publicly accessible instrument databases list only a subset of each issuer's outstanding bonds, and the population of A-rated euro corporate issues with a two to four year tenor priced close to the valuation date is small within that subset. A commercial database covering the full universe of euro corporate issuance would be expected to return eight to fifteen comparables and would permit a proper quartile analysis.

Timing dispersion within the comparable set. Only the VINCI observation falls close to the pricing date. The Schneider Electric observation was priced approximately five months later. Measuring each against its contemporaneous risk-free rate controls for movements in the level of interest rates but does not control for changes in credit spreads across that interval. A narrower observation window would be preferable and would likely explain part of the difference between the two observed spreads.

Coupon used as a proxy for reoffer yield. The observed spreads are computed from coupons at issue on the assumption that each instrument priced at or near par. Benchmark corporate issues normally price within a few basis points of par, so the resulting error is small, but the actual reoffer yields from the pricing terms would be more precise.

Geographic basis of the spread mapping. The default spread mapping used at Section 10.5 is derived principally from United States market data. The reconciliation at Section 10.5 indicates that this did not distort the conclusion at the A rating level, but a euro-specific spread source would still be preferred as the primary basis.

Country risk not quantified. As noted at Section 9.6, no country risk notch-down has been applied to the Indian borrower's rating. A full engagement would test this explicitly against sovereign ceiling methodology and the borrower's foreign currency earnings profile. A notch-down, if applied, would widen the arm's length spread towards the upper bound of the range at Section 11.2.

Consolidated rather than standalone borrower financials. The financial data used is consolidated group data for the stand-in company rather than standalone entity data for a single borrowing entity. In an actual engagement the credit analysis would be performed on the financial statements of the specific borrowing entity, which may present a materially different credit profile from the consolidated group.

No pro forma adjustment. The credit metrics at Section 9.3 are computed on the reported position and are not adjusted pro forma for the new facility. The pro forma effect is quantified at Section 5.5 and is immaterial to the rating band, but a full engagement would present both.

Single-year analysis. The rating is derived from one financial year with a single prior-year comparison, as explained at Section 8.4. A multi-year analysis covering three to five years would give a more reliable view of the borrower's credit profile through the cycle, which matters particularly for a cyclical manufacturer exposed to automotive and commercial vehicle demand.

Lender-side analysis not completed. Section 12.4 establishes MLF's entitlement to a risk-adjusted return but does not quantify MLF's own funding cost or resulting margin, which would be documented in MLF's Luxembourg Local File. A complete two-sided analysis would test that margin against comparable financing entities.

15.3 What would be done differently with full access

Step	Current approach	Approach with database access
Credit rating	Ratio-to-rating mapping on interest coverage, cross-checked on leverage	Full quantitative credit model such as Moody's RiskCalc or S&P CreditModel, incorporating business and financial risk factors, run on standalone entity financials across a multi-year period
Implicit support	Qualitative assessment, no uplift applied	Formal notching analysis against rating agency parent-subsidiary linkage methodology, evidenced by group support history and strategic importance assessment
Comparable search	Two accepted single-name comparables from a screen of 158 instruments across 24 issuers, using publicly available instrument data	Curated set of 8 to 15 single-name EUR corporate bonds and loan facilities from TP Catalyst or LoanConnector, covering the full issuance universe rather than a listed subset, screened on rating, tenor, currency, issue date, seniority and covenant package
Loan comparables	Not available	Third-party loan facility data from LoanConnector, which is closer in form to the tested transaction than bond data and captures covenant and fee structures
Range	Sensitivity band across adjacent rating notches, corroborated by two market observations	Interquartile range of the curated comparable set, tested for outliers and supported by a statistical summary
Country risk	Not quantified	Sovereign ceiling and transfer and convertibility risk assessment with an explicit notching decision
Lender margin	Entitlement established but margin not quantified	Benchmarking of MLF's margin against comparable independent financing entities, supporting the Luxembourg side of the analysis

16. Overall Conclusion

On the basis of the analysis set out in this document, the following conclusions are reached in respect of the EUR 50,000,000 term loan advanced by Meridian Lux Finance S.à r.l. to Forgeline Industries Pvt. Ltd. on 1 April 2025.

7. The instrument is accurately delineated as debt in its entirety under Chapter X, Section B of the OECD Guidelines. No part of the principal falls to be recharacterised as equity.
8. The Comparable Uncontrolled Price method is the most appropriate transfer pricing method, applied with the borrower as the tested party.
9. The borrower's stand-alone credit rating at the pricing date is A2 / A equivalent, derived from EBIT interest coverage of 4.36x and corroborated by leverage metrics.

10. The arm's length interest rate is 2.831 per cent, being the EUR three-year reference rate of 2.051 per cent at the pricing date plus a credit spread of 78 basis points, within a defensible all-in range of 2.751 to 2.941 per cent.
11. That spread is corroborated by market evidence. A search of 158 instruments across 24 European corporate issuers produced two accepted comparables. The closest match on rating, currency, tenor and timing, a three-year EUR senior unsecured issue by an A-rated corporate priced seven days after the pricing date, carried a spread of 79.4 basis points, within 1.4 basis points of the concluded figure.
12. MLF exercises control over the credit risk and has the financial capacity to bear it, and is accordingly entitled to the full risk-adjusted return, subject to satisfying the Luxembourg substance requirements.
13. Section 94B of the Indian Income-tax Act is engaged but produces no disallowance, as associated enterprise interest of approximately INR 127.4 million represents 0.47 per cent of EBITDA against a statutory cap of 30 per cent.
14. Interest is subject to Indian withholding tax capped at 10 per cent of the gross amount under Article 11(2) of the India-Luxembourg treaty, subject to the treaty entitlement conditions at Section 13.2 being satisfied.
15. The facility complies with the Indian External Commercial Borrowings framework as amended in 2026 on lender eligibility, minimum average maturity, borrowing limit, end use and pricing.

The Company considers that the interest rate applied to the intra-group loan is consistent with the arm's length principle.

Appendix A — Financial Data of the Tested Borrower

Source: audited consolidated financial statements for the year ended 31 March 2025. All figures in INR million unless stated.

Metric	FY2025	FY2024	Change
Revenue from operations	151,228	156,821	-3.6%
EBITDA	26,939	25,579	+5.3%
EBITDA margin	17.8%	16.3%	+150 bps
EBIT	18,203	17,097	+6.5%
Finance costs	4,175	4,912	-15.0%
Net profit (adjusted)	10,982	9,635	+13.9%
Diluted EPS (INR)	23.0	20.7	+11.0%
Total borrowings	66,983	79,475	-15.7%
Cash and bank balances	12,914	16,899	-23.6%
Net debt	54,069	62,576	-13.6%
Shareholders' equity	92,533	71,702	+29.1%
Net debt / equity	0.4x	0.6x	

Derived credit metrics

Ratio	FY2025	FY2024
EBIT interest coverage	4.36x	3.48x
Total debt / EBITDA	2.49x	3.11x
Net debt / EBITDA	2.01x	2.45x
Total debt / equity	0.72x	1.11x
Net debt / equity	0.58x	0.87x

Appendix B — Synthetic Rating Mapping Table

Ratio-to-rating and default spread mapping for large non-financial corporates. Source cited at Appendix G.

Interest coverage ratio	Rating (Moody's / S&P)	Default spread
Below 0.20	D2 / D	19.00%
0.20 – 0.65	C2 / C	16.00%
0.65 – 0.80	Ca2 / CC	12.61%
0.80 – 1.25	Caa / CCC	8.85%
1.25 – 1.50	B3 / B-	5.09%
1.50 – 1.75	B2 / B	3.21%
1.75 – 2.00	B1 / B+	2.75%
2.00 – 2.25	Ba2 / BB	1.84%
2.25 – 2.50	Ba1 / BB+	1.38%
2.50 – 3.00	Baa2 / BBB	1.11%
3.00 – 4.25	A3 / A-	0.89%
4.25 – 5.50	A2 / A	0.78%
5.50 – 6.50	A1 / A+	0.70%
6.50 – 8.50	Aa2 / AA	0.55%
Above 8.50	Aaa / AAA	0.40%

Tested party position: FY2025 interest coverage of 4.36x maps to A2 / A with a default spread of 0.78 per cent. FY2024 coverage of 3.48x would have mapped to A3 / A- at 0.89 per cent.

Appendix C — Comparable Search Log

Step	Description	Status
1	Define search criteria (Section 10.1)	Complete

Step	Description	Status
2	Identify initial universe: 158 instruments across 24 European corporate issuers examined for issue date, coupon, currency, maturity and issue size	Complete
3	Apply quantitative screens: EUR denomination, issued during 2025, 2 to 4 year tenor, issuer rated A3 to A1	Complete
4	Apply qualitative screens: senior unsecured, unguaranteed, bullet structure, no equity features	Complete
5	Confirm issuer ratings at each issue date against rating agency and issuer announcements	Complete
6	Compute spread for each instrument against the contemporaneous ECB risk-free rate at matching tenor	Complete — Section 10.4
7	Record rejections with reasons	Complete — Appendix D
8	Derive credit spread from published rating mapping	Complete — Section 10.5
9	Reconcile the derived spread against the market observations	Complete — Section 10.5
10	Compute a statistical quartile range	Not performed. Only two comparables accepted; see Section 15.2.

Appendix D — Rejection Matrix

Each EUR instrument issued during 2025 that reached the qualitative screening stage but was not accepted is recorded below against the specific criterion it failed.

#	Issuer and instrument	Tenor	Spread (bps)	Rejection criterion	Detail
1	Sanofi 2.625% due 23.06.2029	4.0y	61.7	Issuer rating above the screening band	Moody's upgraded Sanofi from A1 to Aa3 on 7 May 2025, before the 23 June 2025 issue date. At issue the credit was rated above the A3 to A1 band and is a materially stronger credit than the tested party.

#	Issuer and instrument	Tenor	Spread (bps)	Rejection criterion	Detail
2	L'Oréal 2.701% due 19.11.2027	2.0y	71.1	Issuer rating above the screening band	Rated Aa1 by Moody's and AA by S&P, materially stronger than the tested party's A2 / A profile.
3	Pernod Ricard 2.784% due 04.11.2027	2.0y	82.9	Issuer rating below the screening band	Rated Baa1 by Moody's and BBB+ by S&P, a weaker credit than the tested party. Inclusion would overstate the arm's length spread.
4	Kering 3.125% due 27.11.2029	4.5y	109.1	Tenor outside the 2 to 4 year band	Tenor of 4.5 years at issue. The issuer was also subject to rating action during 2025 and its rating at issue was not confirmed to sit within the screening band.
5	adidas 2.750% due 06.11.2030	5.0y	50.6	Tenor outside the 2 to 4 year band	Tenor of 5.0 years at issue, materially longer than the three-year tested transaction.

The remaining 151 instruments examined were excluded at the quantitative screening stage, principally because they were not issued during 2025, were not EUR denominated, or matured outside the 2027 to 2029 window implied by the 2 to 4 year tenor band.

Two rejections are worth noting for what they show about the direction of the evidence. The instrument rejected for being a weaker credit than the tested party, Pernod Ricard at BBB+, priced at 82.9 basis points, above the concluded spread. The instruments rejected for being stronger credits, Sanofi at Aa3 and L'Oréal at Aa1, priced at 61.7 and 71.1 basis points, below the concluded spread. The concluded spread of 78 basis points therefore sits between the pricing of stronger and weaker credits in the expected order, which is a consistency check on the conclusion even though none of those instruments is included in the accepted set.

Appendix E — Interest Computation and Sensitivity Schedule

Facility of EUR 50,000,000 drawn in full on 1 April 2025 and outstanding throughout FY2026. Reference rate of 2.051 per cent per Section 11.1 and credit spread of 78 basis points per Section 10.5. INR equivalents at an indicative rate of INR 90 per EUR.

Component	Value
Principal	EUR 50,000,000
EUR 3-year reference rate at 31 March 2025	2.051%
Credit spread	0.78%

Component	Value
All-in rate	2.831%
FY2026 interest expense	EUR 1,415,563
INR equivalent at INR 90 per EUR	INR 127.4 million
Interest as a percentage of FY2025 EBITDA	0.47%

Sensitivity to the rating conclusion, holding the reference rate constant at 2.051 per cent:

Rating band	Spread (bps)	All-in rate	Annual interest (EUR)	Annual interest (INR m)	Difference
A1 / A+	70	2.751%	1,375,563	123.8	(40,000)
A2 / A (concluded)	78	2.831%	1,415,563	127.4	—
A3 / A-	89	2.941%	1,470,563	132.4	+55,000

Appendix F — Section 94B Computation

Computation of the limitation on interest deduction under Section 94B of the Indian Income-tax Act 1961. Amounts in INR million.

Step	Item	Basis	Amount
1	EBITDA	FY2025 audited, indicative basis	26,939
2	Statutory cap	30% of EBITDA	8,082
3	Interest paid or payable to the associated enterprise	Section 11.4, at 2.831%	127.4
4	Interest to the associated enterprise, highest sensitivity case	A3 / A- spread of 89 bps	132.4
5	Threshold test	Interest exceeds INR 10 million	Section 94B engaged
6	Deductible limit	Lower of step 2 and step 3	127.4
7	Excess interest disallowed	Step 3 less step 6	Nil

Step	Item	Basis	Amount
8	Headroom under the cap	Step 2 less step 4	7,949
9	Interest as a percentage of EBITDA	Step 4 divided by step 1	0.49%
10	Carry forward of disallowed interest	Up to 8 assessment years where applicable	Not required

The computation uses FY2025 EBITDA as the indicative basis. The statutory computation for the year of deduction uses the FY2026 figure. Given headroom of approximately INR 7,949 million, the substitution does not affect the conclusion that no disallowance arises.

Appendix G — Sources and References

Regulatory and guidance

- OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations, Chapters I, V, VII, IX and X
- OECD Transfer Pricing Guidance on Financial Transactions (2020), Chapter X
- Luxembourg Circular LIR n° 56/1 - 56bis/1, and Articles 56 and 56bis of the Luxembourg Income Tax Law
- India, Foreign Exchange Management (Borrowing and Lending) Regulations, as amended 2026
- India, Income-tax Act 1961, Sections 92 to 92F, Section 92E, Section 94B, Section 194LC and Rules 10D and 10DA
- Convention between India and Luxembourg for the Avoidance of Double Taxation, Article 11 (Interest), as modified by the MLI

Borrower financial data

- FY2025 audited annual report as filed with the National Stock Exchange of India: https://nsearchives.nseindia.com/annual_reports/AR_26934_BHARATFORG_2024_2025_A_15072025143248.pdf
- Nine-month FY2025 regulatory filing, standalone and consolidated: https://nsearchives.nseindia.com/corporate/ANILSHINDE_13022025154608_SEIntimationIntegratedFiling.pdf
- Equity research summary of FY2025 consolidated results: https://bsmedia.business-standard.com/_media/bs/data/market-reports/equity-brokertips/2025-05/17467882800.46630900.pdf

Credit rating methodology

- Damodaran, A. (NYU Stern), Ratings, Interest Coverage Ratios and Default Spread: https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ratings.htm

Market data

- ECB Data Portal, AAA yield curve 3-year spot rate, euro area, daily. Series key YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y. Observation of 31 March 2025: 2.0511251309 per cent. https://data.ecb.europa.eu/data/datasets/YC/YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_3Y
- ECB Data Portal, AAA yield curve spot rates at 2, 3, 4 and 5 year maturities, used to derive the contemporaneous risk-free rate for each comparable instrument at its own issue date. Series keys YC.B.U2.EUR.4F.G_N_A.SV_C_YM.SR_2Y, SR_3Y, SR_4Y and SR_5Y.
- FRED, ICE BofA index series, examined and found not to carry euro-denominated investment grade corporate indices: <https://fred.stlouisfed.org/>
- Instrument reference data for the comparable search, being issue date, coupon, currency, maturity and issue size: finanzen.net bond database, <https://www.finanzen.net/anleihen/>

Commentary consulted

- Norton Rose Fulbright, External Commercial Borrowings in India: key requirements under the Foreign Exchange Management (Borrowing and Lending) (First Amendment) Regulations, 2026
- Chambers and Partners, Liberalizing India's External Commercial Borrowings Framework: Key Changes Under the 2026 Amendments
- Trowers & Hamlin, India's ECB overhaul: what the 2026 amendment really changes
- Saraf Partners, RBI notifies amendments to the ECB Framework
- CMS, Tax Connect Flash — Luxembourg: a new circular on intra-group financing activities performed by Luxembourg companies
- Taxwink, Section 94B thin capitalisation: limitation on interest deduction

End of document. Final version.